

News and blog

Alden Global's Homes of America pleads guilty in Michigan criminal case; must pay fine and sell property

April 22, 2025

On March 26, 2025, a Genesee County, Michigan prosecutor announced a criminal conviction against the owner of North Morris Estates manufactured housing park. The park had been operating without a license since at least November of 2023, violating Michigan's Mobile Home Commission Act.^[1]

North Morris Estates is owned by Homes of America, a subsidiary of the billion-dollar New York hedge fund Alden Global Capital.^[2]



An agent for the company pleaded guilty to the charges, resulting in a one year misdemeanor and a \$25,000 fine. As a result of the conviction, Homes of America has also been ordered to sell the property by September 24, 2025.^[3]

The Private Equity Stakeholder Project has been working closely with MHAction, a nonprofit organization which advocates for residents at several Homes of America parks, and has written extensively about Homes of America's mismanagement in the report *Vulture Wars: Alden Global Capital's Assault on Manufactured Housing Residents*. The report outlines how the hedge fund has quickly expanded its manufactured housing park rental business throughout the United States.

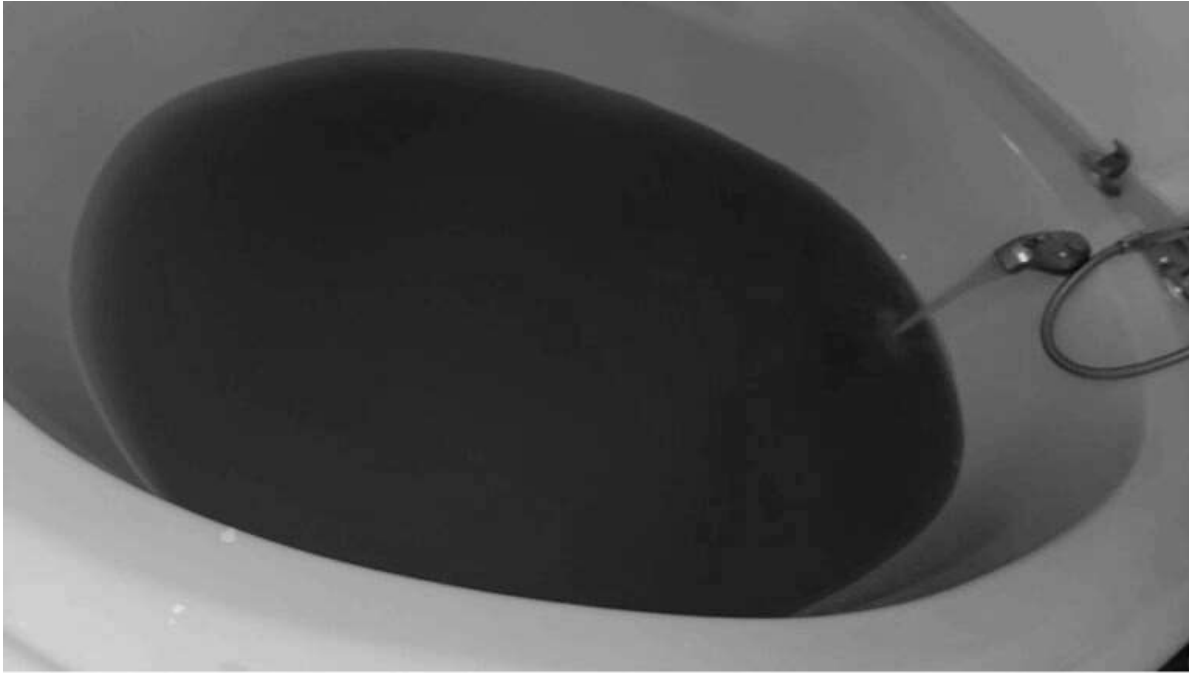
PESP's research has documented instances in which residents report dramatic lot rent increases, legal and financial abuse, resident displacement, and deferred maintenance after Homes of America takes over parks. Undermaintained and unsafe water systems especially are a frequent problem in manufactured housing communities,^[4] and North Morris is no exception.

North Morris Estates was first cited for multiple deficiencies in its water supply by the Michigan Department of Environment, Great Lakes, and Energy on May 31, 2022. A follow-up letter on January 16, 2024, confirmed ongoing violations of the Safe Drinking Water Act.^[5]

Theo Gantos, the community association leader of North Morris Estates whose activism was crucial in motivating the verdict, once said of his experience with the company, "These guys are despicable, awful. They just can't leave residents alone."

Gantos says he experienced major issues at the park related to water quality, crumbling roads, an unusable pool, and more.^[6]

According to news site MLive, “The penalty for operating a mobile home park without a valid license is up to one year in jail or a \$500 fine per each day of noncompliance. In exchange for a guilty plea, Khalil and North Morris Estates agreed to pay 50 days, or \$25,000.”^[7]



Dirty water fills a bathtub at North Morris Estates. Photo credit: Theo Gantos.

Michigan is a national hotspot for private equity-owned manufactured housing communities, owning one in seven lots, according to PESP’s Manufactured Housing Tracker.^[8] The state has the highest rate of private equity-owned manufactured housing in the country.^[9] Homes of America owns 13 parks in Michigan.^[10]

A fine of \$25,000 is admittedly a drop in the bucket for a billion-dollar company. Likewise, the highest officials at Homes of America, who have gained the most from the company’s criminal actions, were not charged. And yet, the conviction is noteworthy as likely the first criminal conviction for such an offense in Michigan’s history. All too often, the legal system favors landlords at the expense of vulnerable tenants.

The park is now gearing up to be sold. According to MHAction, a buyer for North Morris Estates has not yet been located. There have been several cases in the United States in which residents are able to partner with nonprofit housing organizations to assume collective ownership of their parks.^[11] Such an arrangement could be crucial for preventing another predatory investor from purchasing the park and continuing a similarly exploitative business strategy.

While the conviction represents an important victory, according to MHAction Midwest Community Organizer Paul Terranova, “it shouldn’t take thousands of hours of residents’ time over years to get accountability. And even now there is the risk that they go from the frying pan to the fire if another predatory company buys the park.” Whatever the path forward, it is crucial that residents have a say in the futures of their homes and neighborhoods.

One thing is for certain: resident leader Theo Gantos, alongside dozens of organized manufactured housing leaders like him, is not going anywhere without a fight.



Theo Gantos discusses the water situation at North Morris Estates in August of 2024. Photo credit: Mlive.com.

[1] https://www.abc12.com/news/crime/mt-morris-mobile-home-park-owners-plead-guilty-in-criminal-case/article_1cf1aae3-ed50-44e5-b53f-d9a5eed1ff74.html

[2] Property records via LexisNexis.

[3] <https://www.mlive.com/news/flint/2025/03/north-morris-estates-fined-25k-for-operating-without-license-will-sell-mobile-home-park.html>

[4] <https://www.tandfonline.com/doi/abs/10.1080/10511482.2014.999815>

[5] https://www.abc12.com/news/crime/mt-morris-mobile-home-park-owners-plead-guilty-in-criminal-case/article_1cf1aae3-ed50-44e5-b53f-d9a5eed1ff74.html

[6] https://pestakeholder.org/wp-content/uploads/2024/09/PESP_Report_Vulture_Wars_2024.pdf

[7] <https://www.mlive.com/news/flint/2025/03/north-morris-estates-fined-25k-for-operating-without-license-will-sell-mobile-home-park.html>

[8] <https://pestakeholder.org/pesp-private-equity-manufactured-housing-tracker/>

[9] <https://pestakeholder.org/pesp-private-equity-manufactured-housing-tracker/>

[10] <https://pestakeholder.org/pesp-private-equity-manufactured-housing-tracker/>

[11] <https://westvirginiawatch.com/2024/12/26/to-save-affordable-housing-states-promote-resident-owned-mobile-home-parks/>

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